

informed through continuous “live” market broadcasts. Stock chat rooms on the Internet were filled with homespun stock analysts who had no formal training. Favorite clichés of the period were “This time it’s different,” and “We are in a new paradigm of stock valuation.”

Opportunistic authors were not going to miss out on the action. In early 1999, James Glassman and Kevin Hassett published their highly acclaimed bestseller *Dow 36,000* (New York: Three Rivers Press, 2000). The two used historical data to show that there was no risk in the stock market over long periods. They argued that when the world understood this fact, the Dow Jones Industrial Average (DJIA) would triple in value. Not to be outdone, in September of 1999, Charles W. Kadlec published *Dow 100,000: Fact or Fiction* (Upper Saddle River, NJ: Prentice Hall Press, 1999). He predicted that the DJIA would increase 10 times in value by the year 2020.

Time proved painful to those who chose to ignore risk or rationalize it away. Between March 2000 and March 2003, the DJIA fell by 40 percent and the tech-heavy Nasdaq Index fell by 80 percent. There was blood in the streets as investors slashed their stock holdings and tried to preserve what little they had left. Needless to say, both *Dow 36,000* and *Dow 100,000* can now be found at most flea markets priced at less than \$1.

By 2007, the S&P 500 had crawled back and was hitting new highs in October. Then an economic tsunami hit the U.S. housing market causing a domino effect that tore apart financial markets throughout the world. Too-big-to-fail financial institutions ruptured at their base. First Bear Sterns went under and then Lehman Brothers and AIG. The entire U.S. banking industry was in peril. The financial industry might have come to a screeching halt if not for the innovation of the Federal Reserve along with the Treasury Department. With Congress’s permission, hundreds of billions of dollars in taxpayer money was pumped into the banking system to stabilize the markets by providing liquidity.

Over an 18-month period, the S&P 500 collapsed by more than 57 percent from an October 12, 2007, high of 1,562 down to an intraday low of 666 on March 9, 2009. Bank stocks fell by about 70 percent over the same period. It was a terrifying time for many equity investors and a real test of their tolerance for financial risk.

When a person overestimates his or her tolerance for risk, a bear market like the one in 2008 will expose this misjudgment. This will always be an expensive and painful lesson that is not forgotten for years. The two bear